

steady 10 percent returns over the last ten or twenty years. So the idea of retiring on a fortune by setting aside a little has remained an elusive dream for most people.

So how much do you really need? And when should you panic? First of all, you need less than you'd imagine, and panicking helps nothing. The best antidote to panic is realism. If you hit the age of sixty-five in good health, life is just going to be a lot cheaper to live. If you're realistic.

Let's use a common ratio bandied about—65 percent—which is the percentage of your current gross income that many experts say you'll need to live on when you're old. So if your household makes \$100,000 a year today, you'll need \$65,000 during year one of your retirement for both you and your spouse. That's including what you'll get from Social Security. Since an average couple will take home \$24,500 a year in Social Security, you'll need to top off your income by \$40,500 every year. If there are two of you, that's more than \$20,000 each, which a million-dollar nest egg generating a 4 percent return can achieve.

But if you have no overhead, no mortgage, no debt, and no dependents, ask yourself what you are going to spend that \$65,000 a year on. This assumes that you will want to maintain roughly the same standard of living that you enjoyed when you worked a stressful life, working forty hours a week away from home. Of course, you ate out a lot, bought hardcover books to read on the subway, and got a brand-new coat every winter. But in retirement, you won't need to finance your lifestyle in the same way. There will be no commuting, fewer lunches out, and lower dry-cleaning bills.

You need a million dollars to retire if you have great expectations. If you can achieve that ideal, great—the world will be your oyster. But you can have a fruitful, stable retirement on a lot less, if you adjust your expectations. If you don't think you can go days without spending money on useless crap like magazines, gum, or coffee, then you're going to be in trouble a few years into retirement. If you're healthy and happy, being old is cheap. Walking, working part-time, and living a life of purpose and meaning don't require a lot of money, just planning and discipline. So yes, spend those last few working years socking away as much money as you can, but also use those